FX & EM Macro Strategy

FX & EM Views for the Year Ahead

Please find our updated FX views and forecasts across G10 and EM currencies.

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USD

FX Views

Themistoklis Fiotakis, Lefteris Farmakis

Economic momentum has shifted back in favour of the US, motivating yet another hawkish repricing of the Fed's cutting cycle. This is in line with the historical precedent of markets pricing in too many cuts during soft landings, and leaves rates in the US higher than G10 peers. Moreover, President-elect Trump's intended trade and fiscal policies imply a further sizeable dollar tailwind. The potential for a large Chinese economic boost works in the opposite direction, but announcements so far have been underwhelming. In all, we envisage sustained dollar resilience with bullish momentum into 2025.

Rates Views

Anshul Pradhan

With the election event behind us, markets await policy details to gauge the direction of rates, particularly given potentially offsetting effects on growth. Tighter immigration policy and higher tariffs should be a drag on growth, though in a unified government, the fiscal lever can potentially be pulled enough to provide a net boost. At the same time, persistently large budget deficits would translate into higher supply of notes/bonds and a higher term premium, though the increase in auction sizes is likely a late-2025 event. In all, we believe yields are likely to remain higher than they were a month ago, as investors demand a healthy term premium for upside risks, but 10y yields are unlikely to deviate far from 4.25-4.50%. A sharp sell-off is likely to be met with a pick-up in final demand, as fixed income funds are underweight duration versus their benchmark. On the other hand, a decline in 10y yields to below 4% is not justified, given economic resilience.

USD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURUSD	1.07	1.05	1.04	1.04	1.04	1.04	-1.6%	-3.0%	-3.5%	-4.1%	-4.6%	-3.7%	-5.5%	-6.3%	-5.5%	-3.7%
USDJPY	154	155	158	155	152	149	1.4%	4.5%	3.6%	2.6%	1.6%	6.2%	10.5%	9.2%	8.6%	6.4%
GBPUSD	1.29	1.28	1.27	1.28	1.30	1.30	-0.4%	-1.4%	-0.1%	1.2%	1.2%	-1.5%	-1.7%	-1.2%	0.0%	0.8%
NEER	-	0.8%	1.9%	2.5%	2.4%	2.9%	0.9%	2.2%	2.8%	2.8%	3.3%	2.8%	4.7%	6.1%	5.9%	5.0%
REER	-	1.2%	1.9%	2.7%	2.6%	3.1%										

Source: All tables: Bloomberg, Barclays Research

EUR

FX Views

Themistoklis Fiotakis, Lefteris Farmakis, Sheryl Dong

President-elect Trump's intended tariff policies present a further headwind to an already challenging backdrop for the euro, notwithstanding some green shoots in the data lately. An accelerated cutting cycle by the ECB is in keeping with downside risks to the Eurozone's R*, in stark contrast to the Fed's own sharp hawkish repricing. Stimulus out of China could support the single currency if it is effective enough; however, policy announcements thus far have been disappointing. Overall, we expect a further grind lower in EURUSD to c.1.05 or below.

Rates Views

Rohan Khanna, Max Kitson

The US election outcome leaves EUR rates in an interesting place. The upside surprise in the Q3 GDP data and October flash HICP print had resulted in the loss of some dovish momentum in EUR rates. That said, the US election outcome and the tariff-related uncertainty it brings is a shift back in the dovish direction. From this perspective, even after the post-election front-end rally, the market is still pricing in an ECB terminal rate not too far from 2%, in line with typical estimates of the euro area nominal neutral rate. Hence, if a worst-case scenario were to materialise with respect to tariffs, there would likely be room for the EUR front-end to rally (eg, terminal rate pricing closer to 1.5% as our economists expect), in our view. We continue to see Bunds offering value between 2.3 and 2.5%.

EUR forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURUSD	1.07	1.05	1.04	1.04	1.04	1.04	-1.6%	-3.0%	-3.5%	-4.1%	-4.6%	-3.7%	-5.5%	-6.3%	-5.5%	-3.7%
EURJPY	164	163	164	161	158	158	-0.2%	1.4%	-0.1%	-1.6%	-1.1%	1.1%	4.0%	3.3%	2.0%	2.0%
EURGBP	0.83	0.82	0.82	0.81	0.80	0.80	-1.2%	-1.7%	-3.4%	-5.2%	-5.7%	-2.4%	-2.4%	-3.6%	-4.8%	-4.8%
NEER	-	-0.4%	-0.3%	0.0%	0.3%	1.0%	-0.6%	-1.1%	-1.4%	-1.9%	-1.8%	-0.4%	-0.5%	-0.4%	-0.5%	-0.4%
REER	-	0.4%	-0.2%	-0.6%	-0.7%	0.4%										

JPY

FX Views

Shinichiro Kadota, Lhamsuren Sharavdemberel

USDJPY is likely to remain elevated in the near term amid broad USD strength, renewed widening in US-Japan yield differentials and negative FX supply/demand dynamics (eg, from robust outward investments from Japan). That said, topside in USDJPY may be capped by smaller yield differentials than last summer, the BoJ's reaction function to FX weakness and, potentially, weaker resistance to the MoF's FX intervention from the new Trump administration. In the medium term, we look for the JPY to rebound and outperform other currencies, as the BoJ continues to hike and Japan's exposure to trade/tariff pressures is potentially lower than that of other major economies (eg, China or Europe).

Rates Views

Shinichiro Kadota, Ayao Ehara

We expect bear flattening of JGB curve led by short- to medium-term tenors and look for 10y JGB yields to reach a 1.2%-handle by the end of FY25. On the other hand, the superlong sector should remain largely range-bound, given limited impact from BoJ hikes and long-term forward rates having already adjusted to a large extent. Risks to our forecasts include the effect of Trump policies on overseas rates and FX, domestic politics and fiscal expansion and uncertainty over private demand to absorb the BoJ QT and JGB issuance.

JPY forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDJPY	154	155	158	155	152	149	1.4%	4.5%	3.6%	2.6%	1.6%	6.2%	10.5%	9.2%	8.6%	6.4%
EURJPY	164	163	164	161	158	158	-0.2%	1.4%	-0.1%	-1.6%	-1.1%	1.1%	4.0%	3.3%	2.0%	2.0%
NEER	-	-0.1%	-1.3%	1.2%	3.6%	6.2%	-0.6%	-2.6%	-0.9%	0.7%	2.5%	-3.9%	-6.7%	-4.5%	-3.5%	-1.9%
REER	-	-0.4%	-1.4%	1.2%	3.4%	6.1%										

GBP

FX Views

Lefteris Farmakis, Sheryl Dong

We continue to envisage a bullish path for the pound, with EURGBP grinding to 0.80 in the coming quarters. Structural improvements for the UK supply side from closer EU-UK ties remain in scope and underpin this long-term trajectory. The recently announced fiscal expansion of c.1% of GDP adds to an already resilient demand backdrop and, all else equal, implies an even slower cutting cycle by the MPC, at least initially. That said, there remains considerable uncertainty on whether increased labour costs can be passed on to prices or will end up denting employment and weighing on potential supply. Lastly, the UK is likely less exposed to direct tariff risks than the eurozone given its trade deficit in goods with the US, which arguably opens up a positive tailwind for the pound versus the euro.

Rates Views

Moyeen Islam

November's 25bp cut signalled that the MPC is embarking on a more slowly calibrated cycle than had been expected. The MPC has incorporated the OBR's view on the inflationary consequences of the increase in government spending on near-term inflation. However, the medium-term picture sees inflation falling more sharply at the 2-3y horizon than in August. The risk is that the MPC cycle goes further than is currently priced, into H2 25, which could see money market rates rally further.

GBP forecasts

	Forecast						Forecast vs. forward				Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
GBPUSD	1.29	1.28	1.27	1.28	1.30	1.30	-0.4%	-1.4%	-0.1%	1.2%	-1.5%	-1.7%	-1.2%	0.0%	0.8%
EURGBP	0.83	0.82	0.82	0.81	0.80	0.80	-1.2%	-1.7%	-3.4%	-5.2%	-2.4%	-2.4%	-3.6%	-4.8%	-4.8%
NEER	-	0.7%	0.7%	2.2%	3.6%	4.0%	0.8%	1.0%	2.7%	4.4%	1.6%	2.1%	3.4%	4.7%	5.0%
REER	-	1.2%	0.8%	2.9%	3.8%	4.3%									

CHF

FX Views

Lefteris Farmakis

The Swiss franc is caught in a tug of war between expensive valuations and persistent upside pressures from (geo)political/trade risks and ELB-related constraints. A deeper cutting cycle by the ECB at a time when the SNB is already priced to cut close to 0% – either due to tariffs or the possibility that the eurozone's R* is lower than currently thought – could push the SNB's defence line below 0.93, even as the CHF is too strong versus both rate differentials and more fundamental metrics of fair value. Accordingly, we expect a somewhat lower path for EURCHF in coming quarters before a modest rebound in H2 25, by which time macro/trade risks may have cleared somewhat.

Rates Views

Rohan Khanna

Continued softness in Swiss inflation dynamics, with CPI-ex-rents moving into negative territory, and the SNB keeping the door to negative rates firmly open have been supportive of the CHF front-end. We continue to see value in 1y1y CHF longs given these fundamental factors with a target of 0-10bp.

CHF forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURCHF	0.94	0.93	0.92	0.92	0.93	0.94	-0.5%	-1.0%	-0.5%	1.1%	2.7%	-2.1%	-4.2%	-4.2%	-4.1%	-4.1%
USDCHF	0.88	0.89	0.88	0.88	0.89	0.89	1.2%	2.1%	3.1%	5.4%	6.5%	1.8%	0.5%	0.5%	1.6%	0.5%
NEER	-	0.5%	1.6%	1.7%	0.7%	0.4%	0.1%	0.3%	-0.3%	-2.2%	-3.2%	1.3%	3.7%	4.0%	3.4%	3.8%
REER	-	1.6%	1.7%	1.4%	0.4%	-0.2%										

CAD

FX Views

Skylar Montgomery Koning

The Canadian economy is clearly showing signs of slack that necessitates further reductions in the policy rate. We expect the BoC to steadily cut interest rates into 2025, regardless of the Fed's more hawkish turn, as the bank seems comfortable with diverging monetary policy given diverging economic outlooks. Fiscal stimulus in the US would have positive spillovers to Canada, but timing remains uncertain. What is more, if Canada is subject to US tariffs, the economy is unequivocally vulnerable. The same goes in the event US policy pushes down oil prices. We forecast USDCAD rising to 1.43 into 2025.

Rates Views

Skylar Montgomery Koning

The front end has room to rally as the BoC steadily cuts the policy rate towards neutral. For the long end, 10y rates largely reflect the path that we expect for policy. A further deterioration in domestic economic data could see yields overshoot to the downside, but the high beta between Canadian and US government bonds means developments on the US economic outlook – especially with regard to fiscal and trade policy – are more likely to drive Canadian duration. In all, we expect 10y CAD rates to remain range-bound.

CAD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDCAD	1.39	1.41	1.42	1.43	1.43	1.43	1.4%	2.5%	3.5%	3.9%	4.3%	2.2%	4.4%	5.9%	6.7%	5.9%
CADMXN	14.68	14.54	14.79	15.03	14.69	14.69	-1.9%	-2.0%	-2.0%	-5.8%	-7.4%	0.7%	2.6%	5.4%	2.1%	0.9%
EURCAD	1.48	1.48	1.48	1.49	1.49	1.49	-0.2%	-0.6%	-0.1%	-0.3%	-0.5%	-1.6%	-1.3%	-0.8%	0.9%	2.0%
NEER	-	-0.9%	-1.0%	-1.4%	-1.5%	-1.2%	-1.0%	-1.4%	-2.1%	-2.4%	-2.5%	-0.8%	-2.0%	-2.7%	-3.7%	-3.3%
REER	-	-0.2%	-0.6%	-1.7%	-1.5%	-0.9%										

AUD

FX Views

Skylar Montgomery Koning

The RBA has maintained a relatively hawkish policy stance amid a strong economic backdrop. Market pricing sees the first full 25bp cut taking place late in H1 25, but having not raised rates to particularly restrictive levels through the hiking cycle means the cutting cycle is likely to be shallow. This policy path should be AUD supportive, especially as G10 peers, including the RBNZ, face more dovish risks. Potential stimulus in China would add to this positive backdrop; however, measures announced so far have been a disappointment. Moreover, those close ties that allow Australia to benefit from Chinese stimulus also makes the currency vulnerable as a CNY proxy in the event of a trade war. We forecast AUD underperformance versus the dollar, but outperformance on the crosses, such as AUDNZD.

Rates Views

Skylar Montgomery Koning

The RBA's stance as a hawkish outlier has meant AGBs have underperformed during the US-driven bond sell-off. With just over two cuts priced for 2025, however, risks are arguably skewed in the direction of a somewhat deeper cutting cycle, albeit toward a still-elevated terminal rate versus other G10 peers. Accordingly, we expect Australian yields to decline across tenors in coming quarters.

AUD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
AUDUSD	0.66	0.64	0.63	0.63	0.63	0.63	-2.6%	-4.2%	-4.1%	-4.1%	-4.1%	-4.5%	-7.4%	-8.7%	-10.0%	-10.0%
AUDNZD	1.10	1.10	1.11	1.11	1.11	1.11	0.1%	0.4%	0.5%	0.7%	0.9%	0.5%	-0.9%	-0.7%	-0.5%	-0.5%
AUDCAD	0.92	0.90	0.89	0.90	0.90	0.90	-1.3%	-1.8%	-0.7%	-0.4%	0.0%	-2.4%	-3.3%	-3.3%	-4.0%	-4.7%
NEER	-	-1.9%	-2.6%	-2.3%	-2.1%	-1.5%	-1.7%	-2.1%	-1.5%	-0.9%	0.0%	-2.2%	-3.9%	-4.5%	-5.8%	-6.4%
REER	-	-1.7%	-2.7%	-1.9%	-1.6%	-0.8%										

NZD

FX Views

Skylar Montgomery Koning

The RBNZ is set to continue its relatively aggressive easing cycle in 2025; the bank still has a ways to go to neutral, while increasingly clear signs of slack in the economy have raised the possibility of cutting to below this level. New Zealand's economic ties with China present a further vulnerability via likely additional US tariffs. China would probably step up stimulus efforts in such an event, but an unwillingness to directly help the consumer means the fiscal multiplier should remain low. We forecast NZD underperformance within the cyclical currencies, including versus the AUD.

Rates Views

Skylar Montgomery Koning

NZGB's have been swept up in the US-led bond sell-off and thus now look cheap to domestic fundamentals. We expect Kiwi bonds to rally across the curve as the RBNZ continues to cut policy rates closer to neutral, with the risk that rates will need to be cut into expansionary territory. Issuance operates in the opposite direction, as a weak economic backdrop has also weighed on the fiscal outlook, with the impact on yields amplified by the relatively small size of the market, the dependence on foreign buyers, and a loss of relative carry advantage. On net, though, we expect the pull from underlying macro factors to dominate.

NZD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
NZDUSD	0.60	0.58	0.57	0.57	0.57	0.57	-2.7%	-4.5%	-4.7%	-4.8%	-4.9%	-4.9%	-6.6%	-8.1%	-9.5%	-9.5%
NZDCAD	0.83	0.82	0.81	0.82	0.82	0.82	-1.4%	-2.2%	-1.3%	-1.1%	-0.9%	-2.9%	-2.4%	-2.6%	-3.4%	-4.2%
AUDNZD	1.10	1.10	1.11	1.11	1.11	1.11	0.1%	0.4%	0.5%	0.7%	0.9%	0.5%	-0.9%	-0.7%	-0.5%	-0.5%
NEER	-	-1.8%	-2.6%	-2.4%	-2.3%	-1.9%	-1.7%	-2.2%	-1.9%	-1.6%	-1.0%	-2.7%	-2.9%	-3.8%	-5.0%	-5.2%
REER	-	-1.9%	-2.7%	-2.3%	-2.4%	-1.9%										

SEK

FX Views

Lefteris Farmakis

The Riksbank remains one of the most dovish central banks in G10 amid a weak economic backdrop, fast domestic disinflation and labour market damage. The country's high interest rate sensitivity ensured the quick transmission of the bank's hikes to the economy; however, signs of a pickup in activity following the first few cuts are still wanting. Accordingly, we see downside risks to the the market's current terminal pricing of 2% pending such improvements. Sweden's trade openness and EU membership also make it vulnerable to trade risks. In all, we have pencilled in further downside in the SEK versus majors (along with stability around current levels in spot versus NOK).

Rates Views

Alessandro Di Spirito, Lefteris Farmakis

The Riksbank has been consistently revising its guidance dovishly and has already delivered 125bp of easing so far in 2024 (with one additional 25bp cut in the pipeline for December). Even so, SEK rates have come under pressure over the past couple of months, underperforming EUR counterparts across tenors, given that the market has for long already priced a faster and more aggressive cutting cycle than most peers. Now, with the market having repriced the Riksbank's terminal rate 30-40bp higher than the September local trough, SEK front-end rates offer better value, in our view. To this point, the market risk premium for further rate cuts vis-à-vis the Riksbank's latest guidance has shrunk meaningfully, currently standing at 30-35bp, which does not look particularly stretched in the context of still-weak economic activity and headline inflation below target.

SEK forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURSEK	11.56	11.75	11.75	11.75	11.75	11.75	1.8%	1.9%	1.9%	2.0%	2.0%	3.5%	4.0%	4.6%	4.9%	5.4%
USDSEK	10.85	11.19	11.30	11.30	11.30	11.30	3.5%	5.0%	5.6%	6.3%	6.9%	5.6%	8.1%	10.0%	11.4%	9.9%
NOKSEK	0.98	0.98	0.98	0.98	0.98	0.98	-0.1%	0.4%	0.9%	1.5%	2.0%	0.6%	-1.2%	-0.6%	-1.6%	-0.8%
NEER	-	-1.8%	-1.7%	-1.6%	-1.5%	-1.2%	-2.0%	-2.3%	-2.6%	-2.9%	-3.0%	-3.9%	-4.6%	-5.3%	-5.1%	-5.0%
REER	-	-0.3%	-1.5%	-0.8%	-1.5%	-0.7%										

NOK

FX Views

Lefteris Farmakis

The Norges Bank's comparatively hawkish current stance versus G10 peers has failed to translate into notable currency strength to date. From here, a streak of downside inflation misses introduces dovish risks, particularly against the backdrop of a fairly restrictive monetary policy stance. The potential for lower oil prices and a trade war from Trump also present downside risks to the NOK, given its status as a small open economy and close ties to Europe. That said, the bank remains attentive to excessive FX weakness, while its generally negative bias to FX intervention could also be changing. On net, we expect modest further weakness versus majors and a somewhat lower NOKSEK equilibrium just below parity.

Rates Views

Lefteris Farmakis

Market pricing of a modest cutting cycle of c.100bp through 2025 is in line with the Norges Bank's Q3 MPR guidance, but well above reasonable estimates of R*. It is therefore exposed to dovish risks if inflation continues to surprise to the downside. Persistent currency weakness and mounting geopolitical risks continue to stand in the way of outright dovish communication, but the Norges could be forced into it if the economy weakens further.

NOK forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURNOK	11.76	12.00	12.00	12.00	12.00	12.00	1.9%	1.5%	1.0%	0.5%	0.0%	2.9%	5.3%	5.3%	6.7%	6.2%
USDNOK	11.04	11.43	11.54	11.54	11.54	11.54	3.6%	4.6%	4.7%	4.7%	4.8%	5.3%	9.4%	10.9%	13.8%	12.0%
NOKSEK	0.98	0.98	0.98	0.98	0.98	0.98	-0.1%	0.4%	0.9%	1.5%	2.0%	0.6%	-1.2%	-0.6%	-1.6%	-0.8%
NEER	-	-2.2%	-2.1%	-2.0%	-1.8%	-1.5%	-2.1%	-1.8%	-1.5%	-1.2%	-0.7%	-3.2%	-5.7%	-5.7%	-6.5%	-5.2%
REER	-	-1.8%	-3.0%	-1.1%	-2.1%	-1.3%										

CNY

FX Views

Lemon Zhang, Mitul Kotecha

We expect the CNY to continue to fall in the months ahead. Indeed, CNY was always going to be one of the most vulnerable currencies to a Trump win in the US election, though as we have noted, its path would be more controlled due to official smoothing/intervention. China now faces the very real prospect of a ramp up in tariffs, potentially to 60% as Trump has warned. Our analysis shows that such tariffs would result in a material depreciation of the CNY in trade-weighted terms, while at the same time we found that the CNY could potentially depreciate by over 5% following a Trump win. A fall in trade-weighted terms might not be unwelcome given that the CFETS NEER has richened, approaching 100 at present. However, such pressure has to be balanced against the potential for bigger China stimulus in the months ahead, following the pivot by China's authorities in late September. Moreover, even as the NEER has richened, the CNY has undergone a stealth devaluation via a much lower REER. We expect any positive external sector impulse (due to exporters front-loading orders ahead of a potential increase in tariffs) to fade and expect weaker external demand and tourism outflows to weigh on the current account. Taken together with a weak capital flows picture, this suggests diminishing underlying support for the CNY. The very gradual effort to boost demand, combined with monetary policy easing amid still-wide US-/China rate differentials, still points to a higher USDCNY amid a lacklustre growth outlook and over-reliance on exports to boost growth. As such, we recommend shorting CFETS (entry: 99.6; target: 90; stop-loss: 105).

Rates Views

Lemon Zhang

We expect the CGB yield curve to steepen, albeit slowly. We see limited risks of any sharp rise in yields given still-soft growth and ongoing deflationary pressures (China - Rate reform should steepen the curve). Further policy rate and RRR cuts and the PBoC's bond management should keep the front end of the curve under downward pressure. Factors influencing the back end of the curve are mixed, however. A pickup in supply as special bond auctions speed up may widen term premia slowly, while the PBoC should also be more hands-on in actively managing long-dated bonds. This should be met with strong domestic demand for duration and likely renewed interest in TRS flows from foreign investors. Meanwhile, declines in corporates' profit margins and labour market weakness will act as a drag on tax revenues; surging non-tax revenues (mainly fines and confiscation) fuelled concerns about a deteriorating business environment. We continue to like steepener trades, especially if there is potentially larger fiscal follow-through, but we took profits on our pay 10y30y CGB spread and 1y5y NDIRS curve steepener. Barring a large stimulus, the NDIRS curve should flatten given the different composition of market participants (well split between domestic and foreign investors) and likely rising bearishness towards China from the impact of the policies of the Trump administration, including tariffs. We expect 3y and 10y CGB yields to consolidate around 1.5% and 2.1%, respectively, by Q4 24, and 1.50% and 2.20% by Q4 25, respectively. Risks to our view stem from a sudden pivot in the fiscal stance.

CNY forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDCNY	7.22	7.25	7.30	7.35	7.40	7.50	1.0%	2.2%	3.5%	4.7%	6.6%	1.4%	2.1%	3.7%	3.5%	3.4%
NEER	-	0.3%	0.6%	0.1%	-0.5%	-1.6%	-0.1%	-0.2%	-1.1%	-2.2%	-3.7%	1.1%	2.1%	1.3%	1.9%	1.7%
REER	-	0.1%	0.4%	-0.4%	-1.2%	-3.5%										

HKD

FX Views

Lemon Zhang

We expect USDHKD to stay below but close to the middle of the 7.75-7.85 convertibility undertaking, before falling into end-2024 amid tailwinds from Fed rate cuts and Q4 seasonality. In the near term, positioning adjustment following the US elections should cause volatile moves between 7.77 and 7.80, with dollar bids likely lifting USDHKD even in the initial stage of the Fed's gradual cutting cycle. However, we do not expect a prolonged move to around 7.85 due to better IPO sentiment[1] , which has risen from a very low base, as well as overall tailwinds from China stimulus. Further out, we expect the Fed cutting cycle to support the HKD as rate differentials narrow. We expect USDHKD to trade in a 7.75-7.80 range in 2025. Short-term upside risks to HKD come from bunched-up equity inflows and a material recovery in Chinese growth, or US-China relations.

Rates Views

Lemon Zhang

Our expectation of HK rates to bear flatten in the September FX Quarterlies has played out. We think the curve will consolidate first, before bull steepening as Fed continues its easing cycle. Short tenors have inched higher, reflecting the uneven distribution of domestic liquidity and also the anchoring effect from short-tenor US rates. We continue to see the HKMA reducing its Base Rate along its preset formula with Fed cuts. The very low aggregate balance and uneven liquidity distribution implies occasional reliance on the HKMA discount window and raises risks of volatility and brief spikes in Hibor rates. The aggregate balance has consolidated to HKD45bn. Our seasonality analysis shows 3m Hibor tends to rise in Q4, but usually front-loaded, which led us to take profit in our pay 1y HKD IRS trade. Further out, the start of the Fed easing cycle should help keep HK rates range-bound before rates move lower and curves disinvert, albeit more slowly than in the US. We forecast 10y HKGBs to be around 3.20% by Q4 24 and 2.80% by Q4 25. Risks on either side to our view include delays to Fed rate cuts and large capital inflows to HK.

HKD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDHKD	7.78	7.80	7.80	7.78	7.78	7.76	0.4%	0.5%	0.4%	0.5%	0.4%	0.3%	0.1%	0.0%	0.0%	0.0%
NEER	-	0.5%	1.7%	2.4%	2.8%	3.9%	0.7%	2.1%	3.0%	3.4%	4.6%	3.0%	5.1%	6.3%	7.3%	6.9%
REER	-	0.1%	1.3%	2.6%	2.7%	3.7%										

[1] "Signs of Hong Kong IPO activity picking up in the second half of 2024", KPMG, 18 June 2024.

INR

FX Views

Mitul Kotecha, Lemon Zhang

We expect the INR to maintain a weakening trend over the forecast horizon, but expect it to outperform Asian peers amid post-Trump USD strength and potential tariffs. We expect the RBI to remain determined to slow the pace of depreciation through two-way intervention, in both spot and forwards, while opportunistically accumulating FX reserves. Recent heavy equity outflows are unlikely to persist, in our view. However, growth is moderating, which may weigh on a quick return of equity inflows, even as index inclusion will likely maintain some resiliency in bond inflows. Our economists' forecast the current account deficit will widen to 1% of GDP for FY25 (FY24:0.7%) and 1.1% in FY26, but financing will likely be comfortable. The INR's relatively attractive carry/vol ratio should be supportive. However, we expect the RBI to remain watchful of NEER valuations and maintain relative price competitiveness on the export front. We believe a move in USDINR could extend a move through ~84.40 in a staggered way (India: We see higher USDINR) before moving even higher. Risks to our view could emerge from a sharply stronger USD, a spike in oil prices, and a possible shift in RBI strategy should there be change in internal MPC members, including the governor, as their terms end.

Rates Views

Mitul Kotecha

We see limited room for IGBs to rally in the near term, but expect the outlook to turn more constructive into 2025. Inflation returning towards RBI's target on a durable basis should be supportive, and we expect the RBI to commence rate cuts from December 2024, with a cumulative 75bp of cuts through June 2025. Bonds are also likely to gain from favourable supply/demand dynamics and, at the margin, foreign inflows. IGB supply is relatively low (H2 FY25: INR6.6trn) compared with H1FY25, and fiscal risks should ease further as the government remains focused on its fiscal consolidation path over the medium term. The government has budgeted a FY25 fiscal deficit of 4.9%, but expects it to be even lower than the stated 4.5% of GDP for FY26. We expect foreign portfolio inflow (FPI) demand for FAR bonds to resume, with an average monthly inflows of USD2-3bn, and incremental flows from inclusion into the Bloomberg EM index in January 2025 and FTSE Russell in September 2025. We expect IGBs to richen, with 10y yields reaching 6.65% by end-Q4 24, moving gradually lower to 6.40% by end-Q4 25. We expect 5y IGB yields to fall to 6.60% by end-Q4 24 and to 6.45% by end-Q4 25. Markets are pricing in less than 50bp of easing in the next 2y and we see some value in receiving rates at current levels. While we remain long 10y IGBs we add a 5y NDOIS receiver trade. Risks could emerge from any spike in crude oil prices due to ongoing geopolitical tensions, a potential delay in RBI easing, and the RBI embarking on large-scale OMO bond sales.

INR forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDINR	84.39	84.70	85.00	85.50	86.00	87.00	0.1%	0.0%	0.0%	0.0%	0.6%	1.0%	1.8%	3.0%	3.9%	-
EURINR	90.16	88.94	88.40	88.92	89.44	90.48	0.1%	-3.0%	-3.5%	-4.0%	-4.0%	-2.7%	-3.8%	-3.5%	-1.7%	-
NEER	-	0.4%	0.9%	0.7%	0.3%	-0.3%	0.8%	2.0%	2.4%	2.8%	3.0%	0.9%	1.3%	1.0%	0.3%	-1.3%
REER	-	-1.3%	-0.8%	0.7%	-1.0%	0.0%										

IDR

FX Views

Mitul Kotecha, Audrey Ong

We expect the IDR to depreciate further over the forecast horizon and view the recent recovery following the Trump win as likely temporary. Post-election long-dollar profit-taking flows and USD conversion flows as local corporates took advantage of USDIDR revisiting mid-August highs likely exacerbated recent price action. That said, we think the IDR may find some support from markets re-engaging in relative value carry trades in a positive risk environment on a Trump win, as it boasts a relatively higher carry/vol ratio compared with Asia peers. Separately, Bank Indonesia has continued to send a strong signal that it will lean against IDR weakness and cap volatility via its three-way intervention – spot, DNDFs and bond purchases in the secondary market. The weaker IDR outlook that we expect is likely to interrupt BI easing into year-end, with its next 25bp rate cuts potentially only materialising in Q1 and Q2 25, while SRBI rates might also be raised. As such, relative rate differentials with the US may shift slightly more favourably for the IDR as the Fed delivers a third cut in December in our baseline. Foreigners have reversed to selling bonds MTD, with equity outflows extending since October; we would likely need to see global factors stabilise or reprieve from FX for any positives from the local front to exert a larger influence on foreign sentiment. On valuations, the IDR remains slightly cheap relative to its 10y average NEER, and as such we see more limited scope for depreciation compared with some of its peers.

Rates Views

Mitul Kotecha, Audrey Ong

The sharp rally in IndoGBs since mid-June came to an abrupt halt by end-Q3, with the 10y yield bouncing off the 6.4% level. The Fed repricing and US election-premium-related implications for USD and US rates have contributed to both negative duration and FX returns for Indonesia bonds QTD. A slower pace of BI easing amid IDR pressures will also not be helpful. As such, foreign inflows could struggle in the short term, while higher US yields and a Republican sweep outcome skew markets' outlook towards one of no landing in the US could act as a headwind. A seasonally heavier supply schedule in Q1 also will not be helpful, while there may be risks of ramped-up fiscal spending as the new administration becomes more embedded. That said, our analysis has shown that Asia rates markets have largely priced in higher US yields and therefore we see limited scope for yields to move much higher. Fiscal risk premia are likely lower at the helm of a reappointed Sri Mulyani (2024E: fiscal deficit of 2.5% of GDP, 2025E: 2.2% of GDP), with the Prabowo administration appearing to signal commitment to respect the current fiscal rules. But we still note that the risk remains of continued noise around fiscal policy, which could keep markets on edge. Foreign ownership of outstanding IndoGBs remains relatively low, at c.15%, compared with over 40% pre-COVID, suggesting still underweight positioning. Overall, we now see yields remaining sticky, with risks of a move higher in 10y IndoGB yields into Q1 25, up to around 7.00% before declining gradually to c.6.5% by end-2025.

IDR forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDIDR	15680	16000	16200	16300	16400	16600	1.3%	2.1%	2.2%	2.3%	3.0%	2.6%	4.9%	6.7%	7.9%	8.9%
NEER	-	-1.3%	-1.6%	-1.9%	-2.3%	-2.9%	-0.4%	0.2%	0.7%	1.1%	1.3%	-0.2%	-0.8%	-1.7%	-2.4%	-3.6%
REER	-	-0.1%	-1.6%	-0.9%	-0.9%	-1.3%										

KRW

FX Views

Lemon Zhang

We expect a higher USDKRW amid continued dollar strength and a potential worsening in trade dynamics in the region. The headwinds from capital outflows on the KRW from domestic investors (both retail and institutional) from their outbound investments in dollar assets will continue to outweigh foreign-investment flows into domestic assets. For instance, the Korean NPS's outflows at a monthly pace of USD2-3bn this year completely offset the positive impulse on the currency from local equities' strong returns and inflows to the stock market – not to mention the steady retail outflows pursuing USD assets. Moreover, we think USDKRW is the least vulnerable among the north Asia currencies from exporters' conversion flows. A broadly higher dollar should help lift USDKRW. We see 1,400-1,410 as an initial level of resistance from the BoK, as FX concerns become the key factor affecting its policy rate decision. The bank's efforts could intensify when the pair rises to 1444 (recent 5y high). Risks to our cautious KRW view come from a resurgence of market pricing for a dovish Fed, a sharp pickup in growth, or an improving US-China relationship.

Rates Views

Lemon Zhang

We see higher Korea rates in the near term, mainly tracking higher UST yields. We view the rate uptick as short-lived, since Korea's fundamentals have deteriorated to favour more monetary easing. The broad disinflation path is likely lower than the BoK's baseline, and our economists lowered their 2024 and 2025 inflation forecasts to 2.4% and 1.8%, respectively. Moreover, weaker-than-expected Q3 GDP data likely surprised MPC members, while we believe the November meeting is "live," conditional on KRW strength. Market pricing for the BoK is ~26bp of easing for the next two meetings. Supply/demand technicals could weigh on KTB term premia in the next two quarters before worsening from Q2 25, driven by the highest gross KTB issuance on record, while a surge in retail demand, and from active funds ahead of the FTSE World Government Bond Index inclusion-induced passive inflows starting from November 2025, could act as an offset. We estimate the WGBI inclusion should direct ~USD56bn of index-tracking inflows as KTBs' weight in the WGBI climbs to ~2.22% (Korea: WGBI flows - see you in H2 2025). Foreign demand has been strong, and a more diversified investor base is positive, though this would also increase linkages with global rate swings. We forecast 3y KTBs at 2.80% and 10y KTBs at 3.00% by Q4 24, and 2.50% and 2.80%, respectively, by Q4 25.

KRW forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDKRW	1401	1400	1420	1440	1460	1480	0.1%	2.0%	4.0%	5.9%	7.9%	3.9%	8.0%	10.8%	13.2%	15.2%
NEER	-	0.8%	0.3%	-0.9%	-2.1%	-2.9%	0.8%	0.1%	-1.2%	-2.7%	-3.7%	-1.7%	-4.3%	-6.0%	-8.0%	-10.1%
REER	-	1.0%	0.7%	-1.2%	-1.9%	-2.8%										

MYR

FX Views

Audrey Ong

We expect the MYR to remain under pressure over a one-year horizon, reflecting headwinds from US election implications for the dollar and US yields, USDCNY moving to a higher 7.30-7.50 range and a still relatively expensive valuations starting point. The MYR remains the best performer among Asian peers YTD, despite a greater-than-two-standard-deviation sell-off QTD. The MYR, as a low yielder, has less of a carry buffer against higher US rates, especially if expectations are for this environment to persist under a second Trump administration. The MYR should benefit from an upturn in the China impulse, but we believe this still has some time to play out. Valuations also do not yet set a high bar for further FX adjustments, in our view, per our BEER framework and financial fair value model. Continued coordination by the government and BNM to encourage exporters and GLICs/GLCs to repatriate and convert overseas dollars under the pilot Qualified Resident Investor (QRI) programme could play a role in dampening the MYR's beta to any large spillovers from global factors. The steady rise in foreign-currency deposits over the years still implies a sizeable USD pool for the BNM to tap and encourage further conversion. We expect the BNM to pause replenishing its FX buffers amid broad USD strength and lean against MYR cheapening via intervention. Recent FX reserve accumulation could support ~USD2.0-2.5bn of monthly USD selling in the short term, but our long-standing view has been that this is not likely to be sustainable over the medium term. Technical drivers such as SGD NEER basket trades could provide some residual tailwinds for the MYR, given our weaker SGD NEER outlook. We remain long 3m MYRTHB.

Rates Views

Audrey Ong

We expect MGS yields/IRS rates to consolidate in Q1, then ease in a measured manner over a one-year horizon. We forecast 10y MGS yields at c.3.85% by Q1 25, before moving lower to 3.70% by end-2025. Short-term upside risks on yields stem from global drivers and renewed FX pressures, with markets appearing to have postponed expectations of lower funding rates and easier liquidity conditions until Q3 25. Foreign investors have modestly unwound exposure to MGS recently. Until global factors stabilise, we note short-term risks of a further demand pullback and especially following the recent very strong total return performance for bonds, largely driven by FX returns, and foreigners are already relatively overweight in MGS. Our economist continues to expect the BNM to remain on the sidelines through 2026, which is slightly more hawkish than market pricing beyond 1y based on MYR IRS. We expect curves to flatten over the medium term, reflecting continued fiscal consolidation and BNM unlikely to reverse course and cut rates, barring significant tariffs announcement by the next Trump administration. There is some scope for front-end rates to move higher in H2 25, with BNM ready to lift rates if a RON95 petrol-price hike sparks broader second-round inflation effects – although the targeted population for the rollout of petrol subsidy rationalisation may well limit this probability. The government likely being able to remain on a gradual fiscal consolidation path (2024 deficit: 4.3% of GDP, 2025 deficit: 3.8%) should see supply/demand technicals improve. Macro data should still turn supportive for fixed income over the medium term, despite the positive growth surprises this year, as growth moderates in 2025 and inflation continues to cool to the bottom end of BNM's forecast range.

MYR forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDMYR	4.41	4.45	4.50	4.55	4.60	4.70	1.3%	2.9%	3.2%	2.4%	2.7%	3.0%	5.6%	8.3%	10.8%	6.8%
NEER	-	-0.2%	-0.4%	-1.2%	-2.1%	-3.6%	-0.5%	-0.8%	-0.4%	0.9%	1.6%	-0.9%	-1.9%	-3.6%	-5.5%	-1.8%

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
REER	-	0.1%	-0.3%	-0.7%	-1.5%	-2.8%										

PHP

FX Views

Mitul Kotecha, Audrey Ong

Amid broad-based USD strength, the PHP remains vulnerable, but to a lesser extent than many other Asian currencies. As a more domestically oriented economy, the Philippines is less likely to be negatively affected by Trump tariffs. Into year-end we expect remittance flows to provide some support, while our analysis showed that the PHP should be among the least impacted currencies by the US elections and a Trump win-inspired USD bounce. USDPHP may also find increasing resistance on the upside as it approaches 59.0, a significant technical and psychologically important level, though we expect a breach of this level as we go into Q1 25. We expect the BSP to lean actively against PHP pressures only under circumstances of excessive FX volatility. We think things could change for the BSP if a persistently weaker peso feeds into higher inflation expectations. Separately, PHP is among the cheapest Asian currencies in NEER terms relative to its longer-term average. We also do not see policy easing by the BSP changing the equation even, though we expect it to ease more aggressively than other central banks in the region. We expect BSP to be cognizant of Fed easing, but largely mirror expected Fed easing; our economist expects BSP to cut in December followed by 75bp of easing next year. This ought to limit any pressure on the PHP. Less robust external metrics could pose a risk to the PHP, however.

Rates Views

Mitul Kotecha, Audrey Ong

While there may continue to be more short-term pressure on RPGBs into year end in the wake of the Trump win in the US election and potentially higher US yields, we expect 10y RPGB yields to edge lower into 2025. We generally see more value in RPGBs than other Asian local-currency bonds. Rate cuts, a favourable inflation trajectory, and fiscal consolidation, will likely drive the move in yields lower, with 10y yields edging towards 5.20% by end-2025. Our economist expects continuation of BSP easing, with a 25bp cut in December, followed by a cumulative 75bp into next year, in 25bp increments in each quarter from Q1 to Q3 25, to a terminal rate of 5.0%. Potential re-inclusion of the Philippines bonds into the JP Morgan bond index should help support investor appetite. We see likely manageable risks from RPGB supply for now, as the government remains focused on prudent fiscal management, although it seems to have ramped up capital spending; our economist expects the 2024 fiscal deficit to fall to 5.6% of GDP this year from over 7.0% of GDP in 2022, and further to 5.3% of GDP next year.

PHP forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDPHP	58.61	59.00	59.50	60.00	60.50	61.50	0.6%	1.4%	2.1%	2.8%	4.4%	3.5%	5.1%	7.1%	9.3%	2.8%
NEER	-	0.0%	0.1%	-0.4%	-1.0%	-2.1%	0.2%	0.9%	0.9%	0.8%	0.2%	-1.1%	-0.9%	-2.0%	-3.5%	2.4%
REER	-	0.7%	1.9%	1.1%	0.8%	-0.4%										

SGD

FX Views

Audrey Ong

We now see a path of more front-loaded SGD NEER weakness over a one-year horizon, reflecting our updated base case for the MAS to ease policy via a downward re-centring and a 50bp slope reduction (to an estimated 1.0%) in the April 2025 meeting. USDSGD is likely to move higher, reflecting a firm USD and USDCNY settling in a higher 7.30-7.50 range. With core inflation expected to step down visibly, to below 2.0%, into next year, we see scope for short SGD NEER positioning interest to gain further traction and weaken the SGD NEER into Q1. The moderating SGD NEER outlook that we expect as we approach the MAS pivot to easing is in line with historical experience. The SGD NEER tends to weaken on average in the month leading up to MAS easing. We would expect some short-term SGD NEER appreciation to follow after, as a downward re-centring technically opens up room for up to 2% appreciation to the top of the band from the new midpoint. We expect the SGD NEER to ease to c.75-100bp, above the mid by end-Q1, before a gradual recovery and trade moderately above the new midpoint further out. That said, we are not pencilling in an outright collapse in basket strength into year-end 2024 yet, reflecting a still-appreciating slope and MAS forward guidance unlikely to sound outright dovish before the effects of the GST hikes on inflation fades next year. Market participants' positioning interest should tilt towards short SGD NEER, reflecting the negative carry of being long the FX basket and risks of accelerated policy easing should the global growth outlook deteriorate. Any downside growth risks causing the output gap to turn negative could increase the risk of an earlier or more aggressive MAS easing and a greater degree front-load SGD NEER weakness.

Rates Views

Audrey Ong

We expect SGS yields/SORA OIS rates to edge higher in Q1, before moving measurably lower over a one-year horizon. A more gradual Fed easing path, seasonally heavier Q1 supply dynamics and a weaker SGD NEER are likely headwinds in the coming quarter. SGS yields and SORA OIS have tracked US rates higher since the October MAS review, but relatively outperformed given tailwinds from Q4 light supply. Our new baseline call for the MAS to ease next April should see the Singapore rates underperform relative to US and basket rates early in H1 25. We thus initiate a pay 2y SGS versus receive 2y USTs spreads trade (entry: 150bp, target: 100bp, stop-loss: 175bp). Our view has been for Singapore rates to track US rates lower in the initial phase of Fed cuts into year-end, but US and basket rates to converge with Singapore rates over the medium term – reflecting a moderating SGD NEER outlook. We expect overnight SORA fixings to move gradually into a lower range. SORA-SOFR divergence (and outperformance) since 2022 and domestic financial-stability concerns also imply that SORA is likely to lag as Fed easing progresses; we think SOFR will narrow the gap on the way down. We have analysed that Singapore rates' beta to US rates tends to be close to their local minimum around the first Fed cut, but rises as the Fed easing cycle progresses, especially if we are also approaching MAS easing. Our updated forecast for the MAS to ease in April while the Fed cuts to 3.75-4.00% by end-2025 thus implies that Singapore rates' beta to US rates is likely to rise similar to past Fed cutting cycles. Our US rates strategists forecast range-bound duration moves in a gradual return to a neutral scenario (10y at 4.25% by Q4 25). We forecast 10y SGS at 3.00% by Q1 2025 and 2.80% by end-2025, with risks tilted to the upside if a soft US landing materialises.

SGD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDSGD	1.33	1.34	1.35	1.36	1.37	1.39	0.6%	1.8%	3.0%	4.2%	6.1%	1.5%	2.3%	3.8%	4.6%	6.9%
NEER	-	0.3%	0.5%	0.1%	-0.3%	-1.1%	0.3%	0.5%	-0.1%	-0.8%	-1.9%	0.9%	1.9%	1.4%	1.4%	-1.5%
REER	-	0.5%	0.5%	0.2%	-0.8%	-1.3%										

THB

FX Views

Audrey Ong

We expect the THB to cheapen and underperform forwards over a one-year horizon, with risks of pressures front-loaded in H1 25. We turned bearish on the THB heading into the US election, with global factors turning negative and valuations in rich territory. We find that the THB is one of the most vulnerable currencies in a Trump re-election outcome and in a structurally elevated US rates environment. The THB should benefit from an upturn in the China impulse, but we believe this still has some time to play out. FX valuations do not yet set a high bar for further cheapening, in our view. Domestically, the BoT's FX management stance and slower emergence of positive idiosyncratic factors QTD also imply risk/reward skewed towards THB underperformance. The BoT is likely to maintain a neutral tone around FX while prioritizing dampening volatility. We have noted that the BoT historically exhibited greater tolerance for a weaker THB. The BoT's further relaxation of FX rules in Q4 could also weigh on the THB at a time when external pressures are returning. We think increased political uncertainty (at the margin) and further repricing of global rates should stall the unwind of THB risk premia via the foreign portfolio flows channel. We could see a softer impulse from the typical Q4 peak tourism season, while the THB is likely to benefit to a smaller degree from firm gold prices based on our analysis. Further out, the broad USD staying firm and regional headwinds from a weak CNY should be an overhang for the currency, even as external-sector fundamentals remain on an improving trend over the medium term. We remain long 3m MYRTHB.

Rates Views

Audrey Ong

We expect ThaiGB yields/THOR OIS to edge higher in the short term, before easing measurably over a one-year horizon. The surprise 25bp BoT October rate cut likely insulated Thai rates from the rising US rates environment QTD. We see room for the front-end to edge higher, as we think scope for further or aggressive easing by the BoT remains narrow into year-end and H1 25. Global rates could exert greater influence; we see upside risks in a scenario where the Fed does not cut at all in 2025 and a Republican sweep outcome skews markets' outlook towards one of “no landing” in the US. BoT communications signalled that the recent rate cut did not represent the start of an easing cycle. We expect sequential growth momentum to pick up and headline growth should improve further into 2025, given no delay in the FY25 budget. The THOR OIS curve remains dovish relative to our baseline call for one more BoT cut in Q3 25 – premised on the fading growth boost from the first tranche of the digital wallet program by then, high real rates, a possible decline in household debt and softer credit growth. Markets are currently pricing close to one cut in the next three months, and a c.85% probability of a total of 50bp of cuts over a one-year horizon. We continue to see limited loan bond supply risks from digital wallet-related financing. Foreigners have reverted to selling Thai bonds since October, and we likely need to see global factors stabilize to see foreign demand return. Further out, an economy operating around potential but still facing structural issues should still be an overall positive macro environment for duration. We forecast 10y ThaiGB yields at 2.5% in Q1 25 and 2.3% by end-2025. Downside risks are from the BoT delivering more easing than expected should US tariffs be implemented.

THB forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDTHB	34.37	34.80	35.20	35.60	36.00	36.80	1.0%	2.7%	4.4%	6.1%	9.0%	2.4%	3.4%	3.2%	4.2%	5.1%
NEER	-	-0.5%	-0.6%	-1.6%	-2.6%	-4.4%	0.0%	-0.3%	-1.5%	-2.8%	-4.9%	0.2%	0.9%	2.0%	1.3%	0.0%

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
REER	-	0.2%	-0.5%	-1.7%	-3.2%	-4.8%										

TWD

FX Views

Lemon Zhang

We expect the TWD to weaken over the forecast horizon, on likely higher corporate capex spending, spillover from US-China tensions and continued current account surplus recycling. New rules on FX volatility reserves will ultimately reduce the need for FX hedging (Taiwan lifers' 'bid' changing, not fading). This should add medium-term pressure on the TWD and support demand for foreign-currency bonds. Exporters' conversion flows and the CBC's defence of the currency will only likely intensify if USDTWD rises far above 32.50 and closes in on multi-year highs (32.92), especially if the TWD NEER declines below its +/-5% range around the 36-month moving average (1ppt from current levels). Taiwanese exporters have large overseas capex spending plans and took advantage of better USDTWD levels in July to convert their dollars into TWD, leading overall dollar holdings to decline to ~USD5-10bn among corporates, based on our estimates (North Asia: Gauging potential dollar selling by exporters). Similarly, we think the CBC will be relatively patient in terms of TWD softness, as it will be wary of eroding export competitiveness. The bank's intervention efforts would only likely intensify if TWD valuations were to fall into extreme weakness territory, and we are not there yet. We continue to expect the TWI to consolidate in the lower half of its range and see potential for using TWD as a tactical funder, given low NDF-implied rates. Risks to our view stem from sustained portfolio inflows or a sharp move lower in the dollar.

Rates Views

Lemon Zhang

We expect TGB yields to consolidate, before moving lower as the CBC starts its cutting cycle in 2025. TWD NDIRS curve has steepened significantly, with 2y-5y spreads widening to close to ~14bp, the highest since May. The rising back-end NDIRS curve reflects the central bank's continued tightening bias and hence the likelihood it will again raise banks' reserve requirement ratio. Housing costs have risen for 23 straight quarters, according to government data, the longest run on record. The semiconductor cycle rebound should continue to benefit Taiwan's exports, shifting the growth engine from consumption. The wider spreads between deliverable and non-deliverable TWD IRS at long tenors, are a function of different market access – the NDIRS market is dominated by foreign hedge funds while the deliverable market, where foreign hedge funds have limited access, is mostly driven by rising demand for fixed-to-floating swaps from wind power developers. We think NDIRS-TGB spreads screen rich, and TWD NDIRS should outperform TGBs by slowly falling towards TGB yields. Further out, moderating inflation should be supportive for FI, offsetting the pressure from the growth recovery. We expect the CBC to begin cutting rates in 2025. Market pricing, reflected in the path of Taibor rates, implies 6bp of easing in the policy rate heading to H1 25. We look for market pricing to slowly catch up after the CBC likely starts easing next year and measured gains in 10y TGBs to 1.30% by Q4 25. Risks to our view include higher DM rates, sticky inflation and the CBC easing later than we expect.

TWD forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDTWD	32.28	32.30	32.60	32.90	33.20	33.50	0.0%	1.9%	3.9%	5.9%	7.9%	0.9%	3.2%	5.1%	7.1%	6.2%
NEER	-	0.6%	0.6%	-0.1%	-0.9%	-1.4%	1.0%	0.3%	-1.1%	-2.6%	-3.8%	1.5%	0.9%	-0.2%	-1.8%	-1.3%
REER	-	0.0%	0.6%	-0.6%	-2.2%	-2.1%										

BRL

FX Views

Andrea Kiguel

We expect the BRL to stabilize in the near term, but underperform most LatAm peers over the next year. Brazil spent much of the year in a self-inflicted confidence crisis, where the monetary noise essentially served as a wake-up call that the fiscal anchor is weak. In the near term, imminent fiscal announcements could help stabilize the situation. That said, we are not convinced the proposed measures will be able to deliver enough of a fiscal adjustment to tame market concerns about debt sustainability, and this should continue to weigh on the currency over time. The BCB's hikes could help the FX over time, but the authorities will likely have to do more to build carry into the BRL, given the more hawkish Fed scenario on increased inflation risks and US term premium under Trump.

Rates Views

Andrea Kiguel

The BCB is set to continue hiking in the coming months. A resilient economy and rising inflation support the case for some monetary tightening, along with the de-anchoring of inflation expectations and fiscal concerns, which have driven underperformance in the BRL. Our economists are calling for a terminal rate of 12.75, through risks are skewed towards a higher rate.

Markets will likely push for an acceleration in the pace, with the FX unlikely to rebound much given external pressures and fiscal likely disappointing. It's true that the new COPOM board may take a more dovish stance than the market down the road and accept that expectations are within the target range, similar to what was done in 2015. But as uncertainty remains high in the early stages of the cycle, especially given increased external risks, we think markets will still push for more, as they have in the past, and still see risks skewed towards higher rates.

BRL forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDBRL	5.77	5.75	5.80	5.85	5.95	6.00	-0.9%	-1.3%	-2.1%	-2.2%	-3.1%	4.5%	6.4%	9.3%	12.3%	13.6%
BRLMXN	3.54	3.57	3.62	3.68	3.53	3.50	0.4%	1.8%	3.6%	0.0%	-0.3%	-1.6%	0.7%	2.1%	-2.9%	-5.9%
NEER	-	1.3%	1.7%	1.7%	0.6%	0.7%	1.7%	3.0%	4.2%	4.6%	6.1%	-2.7%	-4.2%	-6.2%	-8.8%	-9.1%
REER	-	1.1%	0.2%	-0.3%	-1.1%	-1.2%										

MXN

FX Views

Erick Martinez, Andrea Kiguel

We expect the currency to underperform in the region in the coming months. Trump is serious about tariffs and immigration, and the narrative should continue to pressure the FX despite the post-election relief. Moreover, with USMCA renegotiations a sensitive topic, reform noise could pick up again if Congress approves the elimination of autonomous institutions. In particular, the elimination of the telecom regulator (IFT) could be deemed as non-compliant with the USMCA. This would only add to Trump's leverage in the looming trade discussions, in our view.

With respect to local factors, markets are still pricing gradual easing from Banxico, though it has slowly become more cautious as the Fed is repriced, but there is the risk the board overcuts in this moment of stress. The 2025 budget, due in mid-November, could also be an important risk event for local markets, particularly if the government under-delivers on its promise for consolidation.

Rates Views

Erick Martinez, Andrea Kiguel

Banxico is expected to extend its cutting cycle into 2025, though this cycle is priced to be much more shallow than a month ago. Headline inflation has rebounded on higher agricultural prices, but Banxico remains focused on the downward trend in core, while services inflation is showing initial signs of easing. The FX shock from the US election has been contained for now, and there are few signs of FX pass-through for now.

We see little room for the market to price more (especially an acceleration in the pace of cutting), as the Fed will be a binding constraint for Banxico. Our US economists recently changed their Fed call and now expect only three additional 25bp rate cuts between now and YE25. Furthermore, FX risks should remain elevated amid Trump's tariff and anti-immigration agenda.

On the fiscal side, we see room for disappointment following the announcements of new social programs, infrastructure projects, the burden of Pemex, and a costly election of judges in 2025. We remain bearish Mexico rates and would be inclined to use dips to pay rates. We favour real rates (UDIS) over nominal bonds (Mbonos), as linkers are a more defensive trade under a period of reflation and spikes in US rates.

MXN forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDMXN	20.45	20.50	21.00	21.50	21.00	21.00	-0.6%	0.5%	1.5%	-2.2%	-3.4%	2.9%	7.1%	11.7%	9.0%	6.9%
BRLMXN	3.54	3.57	3.62	3.68	3.53	3.50	0.4%	1.8%	3.6%	0.0%	-0.3%	-1.6%	0.7%	2.1%	-2.9%	-5.9%
NEER	-	0.2%	-1.7%	-3.8%	-1.3%	-0.9%	1.1%	0.8%	0.1%	4.1%	5.9%	-1.6%	-4.8%	-8.4%	-5.8%	-3.9%
REER	-	-1.2%	-2.0%	-3.2%	-0.5%	-0.6%										

CLP

FX Views

Andrea Kiguel, Erick Martinez

We expect the CLP to follow the USD higher in the coming months, largely moving in line with its beta. The bulk of the BCCh's normalization is behind us and the peso has already underperformed to reflect carry erosion, in our view. The peso should trade more in line with fundamentals, which point to slow growth. Terms of trade have stabilized at supportive levels, and any stimulus from China should benefit the peso. Lastly, AFP flows have shifted recently towards Fund A (predominantly foreign equities). As retail tends to chase returns, this could persist if the US equity market continues to rally into year-end, putting extra pressure on the CLP.

Rates Views

Andrea Kiguel, Erick Martinez

Growth concerns remain in the spotlight, with private consumption still weak. While headline inflation was pressured by electricity tariff adjustments and now food inflation, there has not been strong evidence of second round effects, and 2y inflation expectations are largely anchored. The BCCh has guided for the policy rate to return to neutral over the next year, though the risks are now skewed to higher terminals, given global inflationary fears. We stay long breakeven inflation in Chile (which started out as a 2y recommendation but has rolled down closer to a 1y time frame).

CLP forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDCLP	980	975	970	980	990	1000	-0.5%	-1.1%	-0.2%	0.7%	1.5%	3.0%	3.2%	5.4%	7.0%	6.8%
CLPCOP	4.45	4.41	4.48	4.49	4.49	4.50	-1.5%	-0.8%	-1.7%	-2.6%	-3.4%	-2.3%	-0.9%	-1.2%	-0.7%	-0.3%
NEER	-	1.2%	2.7%	2.3%	1.7%	1.4%	1.3%	2.9%	2.6%	2.1%	2.1%	-1.0%	-0.1%	-1.1%	-2.4%	-2.0%
REER	-	-0.2%	1.8%	1.4%	1.6%	1.3%										

COP

FX Views

Erick Martinez , Andrea Kiguel

We expect the COP to depreciate gradually in the coming months, in line with our stronger dollar view. As fiscal uncertainty is likely to peak soon, Banrep should stay cautious, which would keep carry from eroding too fast, and the COP is less exposed to tariff risks than the rest of LatAm FX.

The COP underperformed in the recent bout of dollar strength. We think this was not just because of COP's high beta to the global environment, but also due to idiosyncratic drivers. In particular, fiscal noise picked up due to concerns about the reform that seeks to increase transfers to local governments, which is considered fiscally unsustainable. This on top of the uncertainty from the 2025 budget financing. Banrep continues to err on the cautious side, as fiscal concerns and the COP in a weakening trend limit any space for an acceleration.

Rates Views

Erick Martinez, Andrea Kiguel

The inflation picture is gradually improving, but we see little room for Banrep to accelerate from 50bp rate cuts. The economic recovery is gaining momentum, and we expect this progress to continue throughout 2025. Incoming wage negotiations, FX pressures, and elevated fiscal uncertainty should also keep Banrep cautious – not to mention global risks stemming from the US elections. Markets are currently pricing a shallower cycle, with a terminal rate of about 8% (our economists expect a terminal rate of 6%). We think it is unlikely markets price a lower terminal for the time being.

However, we do see room for COLTES yields to continue to tighten. Colombia is likely not a direct target of Trump's trade policies and would only be affected if a universal tariff is imposed. Moreover, fiscal noise should decline following the modifications to the decentralization reform and the announcement of additional spending cuts, which should ensure compliance with the fiscal targets.

COP forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDCOP	4362	4300	4350	4400	4450	4500	-2.0%	-1.9%	-1.9%	-1.9%	-1.9%	0.6%	2.2%	4.1%	6.3%	6.5%
MXNCOP	213.41	209.8	207.1	204.7	211.9	214.3	-1.5%	-2.4%	-3.3%	0.3%	1.6%	-2.2%	-4.6%	-6.8%	-2.5%	-0.4%
NEER	-	2.0%	1.7%	1.2%	0.2%	-0.4%	2.6%	3.4%	3.8%	3.9%	4.4%	1.2%	0.8%	0.1%	-1.8%	-2.0%
REER	-	2.5%	2.1%	1.5%	1.8%	1.5%										

ARS

FX Views

Ivan Stambulsky

Fiscal policy and politics were solid stories three months ago, and they remain so now. On the fiscal side, Argentina is set to deliver balanced accounts in 2024 after an impressive primary adjustment of 5% of GDP, and we expect this achievement to be preserved in 2025. Meanwhile, Milei's popularity remains high, even after a sharp contraction of private consumption, confirming the population's readiness to accept short-term costs in exchange for medium-term benefits. We expect the recovery in economic activity to gain traction over the next few quarters, supporting these expectations. The FX front was the main source of scepticism, and although we still see relevant risks, important developments have improved the outlook for the economic team's plan. A very successful tax amnesty that increased FX deposits by USD15bn and an effective intervention in the parallel FX market have strengthened the credibility of the current regime and allowed the BCRA to buy reserves in seasonally challenging months. These credibility improvements, in turn, support disinflation, as agents see less of a chance for a discrete FX jump.

We continue to expect capital controls to be lifted only after the midterm elections, as disinflation and low FX volatility are top priorities for the government, but we now see better prospects for a successful preservation of the status quo until then (see Argentina - Chasing a good equilibrium). The main risk, in our view, remains REER levels and dynamics. The REER is already at pre-devaluation levels, and the inflation-crawl gap is still positive. In addition, a stronger global USD after Trump's victory is particularly problematic for the crawl policy. Contracting internal demand and portfolio inflows tied to the tax amnesty are supportive for reserves, but external sustainability doubts could emerge if real appreciation continues. These doubts, in turn, could interrupt disinflation uncomfortably close to the midterms, with uncertain political consequences.

PEN

FX Views

Erick Martinez

We expect the low-yielding, low-vol PEN to hold in relatively well in the challenging global environment, supported by the BCRP's active policy in the FX market. The BCRP resumed easing last week after a pause in October, but we do not see this as too destabilizing for the PEN. The board has emphasized that rates are getting closer to neutral, suggesting that the next moves are likely to be gradual.

The commodity price backdrop remains weak, but with so far limited implications for Peru's terms of trade and the PEN. However, the currency could suffer if the drag from China extends (about 27% of Peru's exports go to China, the third-largest exposure across EMs). The political outlook remains fragile, with Boluarte at historically low popularity levels, continued cabinet reshuffles and impeachment threats, and the latent risk of more widespread demonstrations. Political noise could be a trigger of FX moves as we get closer to the electoral cycle in H2 25.

Rates Views

Erick Martinez

The BCRP eased in November after a one-month pause. The CPI has been in deflation for two consecutive months, and inflation expectations are well anchored. Base effects may pressure inflation upward in the coming months, but the BCRP expects inflation ex-food and energy to remain within the tolerance band for the foreseeable future. Our economists project 100bp of additional easing to reach a terminal rate of 4%.

We remain constructive on Soberanos, as our models indicate that yields still have room to gain support from lower risk-neutral rates, while Peru is at a better starting point ahead of any potential resumption in global inflationary pressures. The fiscal deficit is on track to miss targets for a second consecutive year, undermining credibility. Still, two of the three rating agencies have decided to give the government the benefit of the doubt by moving their outlook back to stable from negative, keeping the risk of a downgrade contained in the near term.

PEN forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDPEN	3.78	3.80	3.80	3.80	3.90	3.90	0.5%	0.4%	0.3%	2.9%	2.8%	1.3%	2.4%	2.7%	5.7%	4.8%
PENCLP	259.44	257	255	258	254	256	-1.0%	-1.6%	-0.6%	-2.2%	-1.2%	1.6%	0.7%	2.6%	1.3%	1.9%
PENCOP	1154.30	1,132	1,145	1,158	1,141	1,154	-2.5%	-2.4%	-2.2%	-4.7%	-4.6%	-0.7%	-0.2%	1.4%	0.5%	1.6%
NEER	-	-0.1%	0.8%	1.4%	-0.8%	0.0%	0.0%	0.9%	1.5%	-0.7%	0.0%	0.8%	0.9%	1.8%	-0.9%	-0.2%
REER	-	0.7%	1.0%	1.5%	-0.3%	0.0%										

CZK

FX Views

Marek Raczko, Sheryl Dong

We maintain our negative bias on the CZK and expect it to underperform the EUR in the long term. CZK still screens expensive on various fundamental valuation approaches, and the underlying economy remains weak despite a mild recovery. The uncertainty around Trump's policies, including tariffs and a potential weakening of the US commitment to NATO, should also weigh on the CZK alongside CEE FX. That said, we expect the CZK to outperform its regional peers, given its relatively lower beta to EURUSD moves in case of a worsening of the geopolitical sentiment. In addition, fast depreciation in FX could elicit hawkish communications from the CNB, which could offset part of the pressure on the currency. We close our long USDCZK vol trade with a hypothetical profit of 0.81 vol.

Rates Views

Marek Raczko, Sheryl Dong

We expect Czech rates to be range-bound in the near term. On the one hand, subdued growth should allow the CNB to reduce its policy rates to a sub-neutral level. The conservative fiscal stance should also leave the back-end yields contained. On the other hand, the recent mild rebound in manufacturing production and inflation, with the CNB raising its inflation forecasts, could put pressure on front-end rates. The potential tariff and fiscal boost from the US could lift core yields and create spillovers to CZK curves, but in the long term, we expect convergence between the back ends of EU and CZK curves.

CZK forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURCZK	25.34	25.66	25.95	25.95	25.95	25.95	1.2%	2.1%	1.9%	1.6%	1.3%	2.2%	3.8%	3.8%	4.4%	4.6%
USDCZK	23.79	24.44	24.95	24.95	24.95	24.95	2.8%	5.3%	5.6%	5.9%	6.2%	6.1%	9.8%	10.8%	10.5%	8.7%
NEER	-	-1.4%	-2.4%	-2.2%	-2.0%	-1.7%	-1.4%	-2.5%	-2.4%	-2.4%	-2.1%	-2.6%	-4.4%	-4.4%	-4.6%	-4.3%
REER	-	-1.2%	-3.5%	-3.0%	-2.4%	-2.1%										

HUF

FX Views

Marek Raczko, Sheryl Dong

We expect the HUF to remain under pressure over the forecast horizon due to the risk of US tariffs, local geopolitics and weak economic performance. The forint remains the most vulnerable CEE currency to risks associated with global trade amid its focus on car manufacturing and high exposure to Chinese investments. In addition, risks associated with the war in Ukraine are currently underpriced in CEE FX, in our view; hence, we expect geopolitical risk premium to rise. Weak economic growth may also add to pressures on the forint. On the flip-side, we would expect the NBH to try to offset any sharper HUF weakening with more hawkish communication.

Rates Views

Marek Raczko, Sheryl Dong

The front-end of the HUF curve remains a direct function of the EURHUF exchange rate. We expect that the pressure on the forint will keep front-end rates elevated. The NBH, even under the new governor (expected to take over in March), will likely prioritize forint stability over policy easing. Rising geopolitical risks and fiscal deterioration amid the weak growth outlook should put pressure on the back end of the curve; hence, we expect the curve to remain steep.

HUF forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURHUF	410	416	422	422	422	422	1.1%	1.5%	0.5%	-0.5%	-1.5%	4.5%	5.1%	4.5%	4.7%	2.9%
USDHUF	385	396	406	406	406	406	2.7%	4.6%	4.1%	3.7%	3.3%	6.0%	8.6%	8.9%	10.2%	6.7%
PLNHUF	94.0	94.4	94.4	94.4	94.4	94.4	0.4%	0.2%	0.0%	-0.1%	-0.3%	2.3%	1.1%	0.8%	1.2%	-0.6%
NEER	-	-1.6%	-2.8%	-2.6%	-2.5%	-2.2%	-1.3%	-1.8%	-1.0%	-0.2%	0.7%	-4.8%	-5.5%	-5.1%	-4.8%	-2.5%
REER	-	-1.5%	-2.5%	-2.5%	-1.4%	-1.3%										

PLN

FX Views

Marek Raczko, Sheryl Dong

We expect the PLN to be under pressure amid its significant beta to the EUR and due to its exposure to risks associated with the war in Ukraine. In addition, slowing growth momentum and a deteriorating fiscal position may further exacerbate the risk premium in the PLN. On the flip-side, an increase in EU fund inflows (due to EU structural funds) and a still-hawkish NBP should offset some of these currency pressures.

Rates Views

Marek Raczko, Sheryl Dong

We expect the NBP to retain its hawkish bias and to start policy easing only in the late Q2 25. This stands against market pricing of 90bp worth of cuts by the end of Q2. We believe the market has misread the guidance from the governor, who flagged that the MPC will start discussions in March 25 about the policy easing. So, we see value in paying FRA 9x12 (entry: 4.83, target: 5.75, stop: 4.00). Even though the back end of the Polish curve is driven predominantly by global factors, namely US rates, we see some scope for some additional pressure on the back end due to loose fiscal position. In addition, we expect ASW to tighten into year-end due to lower budget liquidity, and to then widen next year due to an increase in PolGB issuance.

PLN forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURPLN	4.36	4.41	4.47	4.47	4.47	4.47	0.7%	1.3%	0.4%	-0.4%	-1.2%	2.1%	4.0%	3.7%	3.5%	3.5%
USDPLN	4.10	4.20	4.30	4.30	4.30	4.30	2.4%	4.4%	4.1%	3.8%	3.5%	4.7%	8.3%	8.8%	8.3%	4.6%
PLNHUF	94.0	94.4	94.4	94.4	94.4	94.4	0.4%	0.2%	0.0%	-0.1%	-0.3%	2.3%	1.1%	0.8%	1.2%	-0.6%
NEER	-	-1.2%	-2.4%	-2.2%	-2.0%	-1.7%	-0.9%	-1.7%	-1.0%	-0.4%	0.4%	-2.5%	-4.6%	-4.4%	-3.7%	-3.1%
REER	-	-1.3%	-0.4%	-0.7%	1.1%	0.7%										

RON

FX Views

Marek Raczko, Sheryl Dong

Over the next quarter, we continue to expect the NBR to manage the EURRON around current levels. The NBR treats the exchange rate as a main anti-inflationary ancho, and we expect the NBR to keep RON at overvalued levels since inflation still stands above NBR's target. We think that only next year will the NBR allow for some small depreciation of RON against the EUR. Alternatively, the NBR could reduce its FX operations, allowing for a wider variation in the EURRON exchange rate.

RON forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURRON	4.98	4.97	5.00	5.05	5.05	5.05	-0.4%	-0.5%	-0.2%	-1.0%	-1.7%	-0.6%	-0.6%	-0.2%	-0.2%	0.6%
USDRON	4.67	4.73	4.81	4.86	4.86	4.86	1.2%	2.6%	3.4%	3.2%	3.1%	4.5%	6.8%	8.6%	9.4%	9.4%
RONHUF	82.5	83.8	84.4	83.5	83.5	83.5	1.5%	2.0%	0.7%	0.4%	0.2%	5.1%	5.7%	4.8%	4.9%	2.3%
NEER	-	0.2%	-0.1%	-0.8%	-0.6%	-0.2%	0.3%	0.1%	-0.4%	0.1%	0.7%	0.5%	0.3%	-0.1%	0.3%	0.1%
REER	-	-0.2%	-0.6%	-0.8%	-0.2%	-0.1%										

RUB

FX Views

Marek Raczko, Anastasiia Ergunova

Expected broad USD strength should push USDRUB higher, but local factors will likely allow the RUB to appreciate against most EM currencies. On the local side, we continue to view the RUB as driven predominantly by the Russian trade balance. The mandatory sales of export revenues were extended until 25 April 2025, and exporters must still transfer 40% of all export revenues and convert 90% of it to RUB. Hence, exports should continue to support the RUB, while imports will likely be curtailed by weak domestic consumer demand amid tight monetary policy. Risks to our USDRUB forecast are tilted to the downside, as a potential cease-fire/peace deal in Ukraine could also entail the release of Russian FX reserves or restoring economic collaboration.

RUB forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURRUB	102.32	103.95	104.00	104.00	104.00	104.00	3.0%	-0.5%	-3.9%	-7.2%	-10.2%	-1.2%	-4.8%	-7.6%	-12.0%	-15.4%
USDRUB	96.00	99.00	100.00	100.00	100.00	100.00	4.7%	2.5%	-0.4%	-3.3%	-5.9%	3.9%	3.1%	0.5%	-1.5%	-6.5%
NEER	-	-2.4%	-2.3%	-2.0%	-1.7%	-1.2%	-3.4%	-0.1%	3.3%	6.7%	10.2%	-0.5%	2.2%	5.6%	8.7%	13.4%
REER	-	-3.9%	-2.4%	-0.5%	0.6%	1.4%										

TRY

FX Views

Marek Raczko, Anastasiia Ergunova

We expect the TRY to continue to depreciate at a slower pace than implied by the forwards in the next quarter, meaning it remains an attractive carry destination, particularly against the EUR. In the near term, we expect the CBT to maintain its policy of real effective exchange rate appreciation as it helps to curb inflation. The pace of real appreciation, however, will have to be moderated to limit its spillovers to the Turkish current account. In our view, real effective exchange rate appreciation has already put TRY at overvalued levels. So, in the long run, we expect this overvaluation gap to start closing once inflation stabilises at a lower level, or if the current account gap starts to deteriorate.

Rates Views

Marek Raczko, Anastasiia Ergunova

Our economist expects the CBT to deliver the first cut of 2.5pp in December 2024 and continue its monetary policy easing at an even pace until it reaches a terminal rate of 27.5%. However, the recent upside inflation surprises suggest that the CBT may err on the cautious side and keep policy rates on hold until the next year. So, we view current front end of the OIS curve as fairly priced. CCY front-end rates should remain significantly below OIS rates, due to high TRY carry demand. We see some scope for a better support for belly rates amid falling inflation and weaker economic activity. But the year-end minimum wage negotiations remain a significant upside risk to medium-term inflation, which if it materialises would add pressure to belly rates.

TRY forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDTRY	34.34	36.00	38.00	40.50	43.00	46.00	0.3%	-2.7%	-4.2%	-5.5%	-5.6%	2.4%	4.1%	6.6%	9.3%	15.1%
EURTRY	36.60	37.80	39.52	42.12	44.72	47.84	-1.4%	-5.7%	-7.6%	-9.4%	-10.0%	-1.4%	-1.6%	-0.1%	3.3%	10.9%
NEER	-	-3.6%	-8.1%	-14.3%	-20.2%	-26.6%	1.0%	5.3%	7.2%	8.9%	9.6%	-0.2%	-0.5%	-2.2%	-4.5%	-9.9%
REER	-	-14.2%	-8.2%	-10.4%	-9.3%	-11.7%										

ILS

FX Views

Marek Raczko, Sheryl Dong

The ILS remains fundamentally undervalued, in our view, amid large risk premia embedded in USDILS. These premia decreased after US presidential elections, but still remain large, since the outlook for broader ceasefire in the region is very uncertain. In addition, the highly controversial judicial reform that drove ILS weakness ahead of the war, may be brought back as President-elect Trump is unlikely to push back against the judicial reform.

Rates Views

Marek Raczko, Sheryl Dong

The BoI cutting cycle is very uncertain and contingent on war developments, but our economist expects 50bp worth of cuts in 2025, against FRA market pricing of 27bp. However, given significant uncertainty around local geopolitics and its impact on Israeli inflation, we do not see value in receiving front-end rates. Although belly and long-term spreads to US rates compressed after the US elections, they continue to trade with significant local premia, in our view. We would expect these to compress once a credible regional ceasefire is attained.

ILS forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDILS	3.75	3.70	3.65	3.60	3.50	3.50	-1.2%	-2.2%	-3.2%	-5.6%	-5.4%	0.0%	-1.4%	-4.0%	-4.1%	-4.1%
NEER	-	2.3%	4.6%	6.3%	9.3%	9.8%	2.1%	4.1%	5.5%	8.3%	8.5%	1.8%	4.4%	7.8%	8.2%	8.3%
REER	-	1.6%	3.8%	3.9%	8.6%	9.1%										

ZAR

FX Views

Marek Raczko, Anastasiia Ergunova

Our proprietary USDZAR valuation model suggests that USDZAR is currently fairly valued, but we expect USDZAR to grind higher due to likely USD appreciation amid expected Trump trade policies. However, we expect ZAR to outperform its historical betas to the broad USD and risk, as South Africa may be relatively insulated from the negative impact of US tariffs and is not exposed to geopolitical issues in Eastern Europe. We close our recommendation to be long USDZAR 1m volatility as a hedge for US elections with a profit of 2.88 vol.

Rates Views

Marek Raczko, Anastasiia Ergunova

We expect SARB to deliver a 25bp cut this year, followed by two more of similar size in 2025, implying a terminal rate of 7.25%, in line with current market pricing. However, the risks for the policy rate are tilted to the upside due the uncertainty around the Fed cutting cycle (as markets now await Trump's policy details). SA policy rate spread to the fed funds rate remains tight, and if the Fed limits its easing scope, the SARB may need to follow to maintain the spread. So, we see value in paying SA 3y IRS against receiving US 3y IRS (entry: 360bp, target: 440bp, stop 320bp, 1-m worth of carry: -0.4 bp). In addition, the back- end of the SA curve is still pricing a significant term premium; hence, we see room for the ZAR curve to flatten.

ZAR forecasts

		Forecast					Forecast vs. forward					Forecast vs. consensus				
	Spot	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDZAR	17.96	18.00	18.24	18.25	18.00	17.75	-0.2%	0.4%	-0.4%	-2.5%	-4.7%	1.1%	3.3%	4.3%	2.6%	-1.4%
NEER	-	0.6%	0.2%	0.4%	2.0%	3.9%	1.2%	1.8%	3.0%	5.6%	8.6%	0.9%	0.0%	-0.1%	1.8%	5.7%
REER	-	0.8%	0.4%	0.4%	3.5%	5.4%										

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